Nvidia scandal increases odds of stronger export controls

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The Megaspeed scandal will weaken Nvidia’s lobbying against new export controls and make it harder for negotiators to strip chip bills from the NDAA.
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Trump will try to shield Nvidia, and the White House will still decide how aggressively to enforce any new chip laws.
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Democrats will make the case a centerpiece of their China corruption probes, but it is unlikely to derail the US-China truce.

The Megaspeed scandal will weaken Nvidia’s ability to slow new export controls in Congress. Nvidia has been the most effective opponent of new controls. Even if Jensen Huang keeps his job following the board’s investigation, the scandal politically undermines his argument that selling to China keeps Chinese developers dependent on US technology and slows Huawei. His lobbying helped persuade the administration to rescind the Biden administration’s AI diffusion rule and approve H200 sales to China and helped keep the GAIN AI Act out of last year’s defense bill (see: Nvidia H200 sales will smooth Trump-Xi summit but invite longer-term scrutiny , 19 Aug 2026). In September, Nvidia reportedly asked the White House to water down two chip bills now in play for this year’s NDAA.

Trump will try to shield Nvidia because of its importance to the AI buildout and US-China stability. Trump called Huang “an honorable guy” after he admitted the affair, and he reportedly took no action after being briefed in October 2025 that the Megaspeed executive was a suspected Chinese spy. Trump treats Nvidia’s global market share as a measure of US dominance in AI, and he opposes policies that slow its sales or AI deployment more generally. He also wants to maintain stable relations with China and a smooth meeting with Xi Jinping at APEC on 18–19 November. However, if the scandal expands, Trump is unlikely to feel compelled to continue defending a figure who will appear to be a political sinking ship.

The scandal improves the odds that stronger versions of export control bills ride on an NDAA that is nearly certain to pass. Three chip bills are proposed as amendments to the Senate’s NDAA: the Chip Security Act would require location verification for advanced chips sold abroad, the AI Overwatch Act would give Congress a say over chip export licenses, and the MATCH Act would press allies to match US controls on chipmaking tools and could expand them. We had expected negotiators to weaken or drop

them under pressure from the White House and industry. Dropping them now would force Republicans to defend Nvidia days after their own committee chairs summoned Huang. The Remote Access Security Act (RASA), which would give Commerce's Bureau of Industry and Security (BIS) explicit authority to target the loophole allowing remote access to controlled chips, is not in the NDAA. The Senate has not taken up the standalone bill, so RASA will probably wait until 2027 to ride on another must-pass bill, such as government funding or next year's NDAA.

Democrats will make Commerce's handling of Megaspeed the centerpiece of their China corruption probes. The case combines corruption and AI, which resonated with voters in the midterms, with China, which gives lawmakers a security rationale to act (see: Democratic investigations likely to target defense, tech, and financial firms , 05 Nov 2026). Commerce's investigation of Megaspeed was reportedly handed to the Justice Department last year after Nvidia's general counsel told investigators that a senior Commerce official had approved his contact with them. Democrats will probably ask why Trump did not act on the intelligence briefing and whether Huang's close ties to Trump and Nvidia's $25 million ballroom donation influenced chip policy.

New chip laws will matter only as much as Trump and Commerce are willing to enforce them. The bills leave the executive room to delay, as the Chip Security Act and the MATCH Act include limited national security waivers. Still, enacted laws would outlast Trump. A future administration, especially a Democratic one in 2029, would inherit statutory mandates and an oversight record of what Commerce chose not to enforce. That prospect will weigh on companies' long-term planning and valuations now, even if enforcement stays light under Trump.

The scandal will not derail managed stability in US-China relations. Trump and Xi both have incentives to extend the bilateral truce beyond January (see: Summit lowers odds of year-end bilateral breakdown , 25 Sep 2026). Beijing is unlikely to retaliate against NDAA provisions until the administration enforces them. The risk would rise if the scandal forces measures Trump cannot contain, such as penalties on major Chinese firms implicated in the case. Remote-access restrictions, if effective, would also be consequential given Chinese firms' current dependence on offshore compute. Such measures could prompt Chinese retaliation and complicate negotiations over extending the truce, even if neither side seeks a broader rupture.

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